

US Life Science Tools & Diagnostics

Illumina Inc

Rating

Market-Perform

Price Target



215.00 USD (185.00 OLD)

31 July 2026



Estimate Change

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Illumina 2Q26: Ride the (clinical) wave

Illumina [reported](#) 2Q26 numbers after market close on Thursday. Revenue of \$1,159M was 4% above consensus of \$1,110, and EPS of \$1.31 was 7% above consensus of \$1.23. The company raised FY26 revenue guidance to \$4.60B - \$4.64B (from \$4.52B - \$4.62B), ROW organic growth to 5+% (from 2% - 4%) and EPS ~13 cents at the midpoint.

NovaSeq X placements were without a doubt the standout in the quarter; the >95 placements were a nice sequential step-up from 83 in Q1. Notably, 70% of these placements went to clinical customers (although we wouldn't have expected too many placements into the research setting in this funding environment). It is easy to imagine that many of these purchases went to diagnostics players expecting to meaningfully ramp up existing tests (e.g., like Guardant ramping up Shield and Reveal). However, it is also easy to imagine that some of them went to clinical R&D - which is perhaps a sign of customers recommitting to Illumina after having had time to consider pricing and performance from the other major new entrants out there.

The clinical consumable cliff has turned into a... wave to be surfed? Previously, there was a concern that when clinical customers switched from the 6000 to the X they would quickly start to pay less per sample, but they wouldn't ramp up volumes accordingly and revenue would hit a "cliff." However, more and more of the clinical transition is now behind us: in Q2 the X was 79% of high throughput Gb shipped and 59% of high throughput consumables revenue). And with clinical consumable growth remaining strong (+15% ROW, >20% in the U.S... though bears may pick at the fact that growth was +20% ROW in Q1), this risk continues to be less and less compelling. CEO Jacob Thaysen opined, "It's not a cliff. It's a wave. And we are surfing it."

Investment Implications

We come out of this earnings print much more positive than we went in. However, the *market* was much more positive going in than we were (stock up 16.6% over the last month and 5.3% on the day), so it's possible we won't see too much of a reaction (down 1% in the after-market). We maintain our Market-Perform rating. We raise our PT to \$215 based on raising our estimates, and raising our multiples to the current 2026 levels (EV/EBITDA increase from 22x to 25x 2027, P/E increased from 34 to 40x 2027). WACC of 9.25% and a terminal growth of 3% remain unchanged. **Models:** [Company model](#) for ILMN

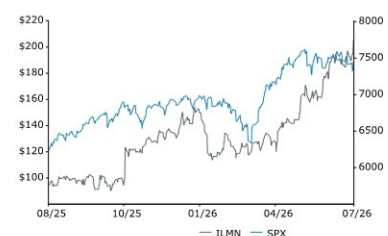
Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
ILMN (USD)	4.86	5.34	6.14	Revenues (M)	4,343	4,632	4,937	--	Adjusted P/E (x)	42.2	38.4	33.4
OLD	--	5.22	5.94									

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	30 Jul 2026
ILMN Close Price (USD)	205.09
Price Target (USD)	215.00
Upside/(Downside)	5%
52-Week Range	205.47/88.00
SPX	7,437.63
FYE	Dec
Div Yield	NA
Market Cap (USD) (M)	31,030
EV (USD) (M)	32,339
Performance	YTD 1M 6M 12M
Absolute (%)	56.4 16.6 41.6 92.3
SPX (%)	8.6 (0.8) 7.2 16.9
Relative (%)	47.7 17.5 34.4 75.4

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

QUARTERLY PERFORMANCE

See below for a comparison of Illumina's 2Q results vs. consensus and Bernstein estimates ([Exhibit 1](#)), as well as results vs. 2Q guidance ([Exhibit 2](#)).

EXHIBIT 1: **ILMN quarterly performance vs. consensus and Bernstein**

	Current quarter: 2Q26					YoY comparison: 2Q25		QoQ Comparison: 1Q26	
	Actual	Consensus	Reported vs Consensus	Bernstein	Reported vs Bernstein	Actual	YoY change	Actual	QoQ change
Product	982	965	2%	968	1%	912	8%	917	7%
Consumables	852	841	1%	846	1%	811	5%	797	7%
Instruments	130	123	6%	123	6%	101	29%	120	8%
Service & other	177	165	7%	162	9%	147	20%	174	2%
Income statement (adj)									
Revenue	1,159	1,110	4%	1,131	2%	1,059	9%	1,091	6%
Cost of revenue	369	349	6%	363	2%	324	14%	347	6%
Gross profit	790	761	4%	768	3%	735	7%	744	6%
Gross margin	68.2%	68.6%	-0.4 pp	67.9%	0.3 pp	69.4%	-1.2 pp	68.2%	0.0 pp
SG&A	278	270	3%	263	6%	241	15%	267	4%
R&D	252	252	0%	253	0%	243	4%	239	5%
Operating income	260	251	3%	251	3%	252	3%	239	9%
Operating margin	22.5%	22.1%	0.4 pp	22.2%	0.3 pp	23.8%	-1.3 pp	21.9%	0.6 pp
Income tax	52	48	8%	49	7%	54	-4%	46	13%
Net income	201	189	6%	188	7%	187	7%	177	14%
EPS (diluted)	1.31	1.23	7%	1.22	7%	1.19	10%	1.15	14%
Diluted share count	153	154	0%	153	0%	157	-3%	154	-1%

Source: Company reports, Bloomberg, Bernstein analysis and estimates

EXHIBIT 2: **ILMN quarterly results vs. guidance**

	Reported	2Q26 guidance
Total revenue	\$1.16B	\$1.12B - \$1.14B
Reported revenue growth	9.50%	6% to 8%
ROW Organic Growth (Ex-China)	8.10%	4% to 6%
Non-GAAP operating margin	22.5%	~22%
Non-GAAP EPS	\$1.31	\$1.20 - \$1.25

Source: Company reports, Bernstein analysis

GUIDANCE

Illumina raised its guidance for FY26; the key metrics are in [Exhibit 3](#) for FY26 and in [Exhibit 4](#) for 3Q26, with additional notes below.

EXHIBIT 3: **ILMN FY guidance**

FY26 guidance as of	2Q26	1Q26	4Q25
Revenue	\$4.60B - \$4.64B	\$4.52B - \$4.62B	\$4.50B - \$4.60B
Reported revenue growth	Not Reiterated	4% to 6%	4% to 6%
ROW Organic Growth (Ex-China)	>5%	2% to 4%	2% to 4%
Revenue from Greater China	Not Reiterated	Not Reiterated	\$210M - \$220M
Non-GAAP operating margin	23.4% - 23.6%	23.4% - 23.6%	23.3% to 23.5%
Sequencing instruments (CC, Ex-China)	+LSD	Flat to +LSD	-LSD to Flat
Sequencing consumables (CC, Ex-China)	+MSD	+LSD to +MSD	+LSD to +MSD
Non-GAAP tax rate	Not Reiterated	Not Reiterated	20.5%
Non-GAAP diluted EPS	\$5.30 - \$5.40	\$5.15 - \$5.30	\$5.05 - \$5.20

Source: Company reports, Bernstein analysis

EXHIBIT 4: ILMN 3Q26 guidance

	3Q26 guidance
Total revenue	\$1.14B - \$1.16B
Reported revenue growth	Not Guided
ROW Organic Growth (Ex-China)	~4.5%
ILMN Organic Growth	~4.5%
Non-GAAP operating margin	~24%
Non-GAAP EPS	\$1.33 - \$1.38

Source: Company reports, Bernstein analysis

Additional notes on guidance

- **2H26**

- NovaSeq X placements are expected to remain **elevated in 2H26**, with **some moderation in YoY growth rates**.
- **Consumables growth is expected to remain steady, while quarterly variability could arise from instrument placements**, which are expected to remain elevated in 2H26 but were already elevated beginning in 2H25.
- 3Q26 is expected to reflect **usual seasonality**, with 4Q26 remaining the company's **largest quarter of the year**.
- The **extra selling week in 4Q26 is expected to add approximately 50 bps to FY26 revenue growth**, primarily through consumables

- **FY26 & Beyond**

- Clinical sequencing consumables growth is expected to be **mid-teens**, while Research & Applied consumables are expected to decline **mid- to high-single digits in FY26**.
- Recent NovaSeq X placement outperformance is expected to provide a **modest FY26 consumables revenue benefit**, with **most of the benefit coming in FY27** as clinical customers typically require **at least six to nine months** to reach normalized consumables pull-through.
- Continues to target **high-single-digit revenue growth in FY27**, including **1 to 2 percentage points from new products**.

COMMENTARY FROM THE CALL & CALLBACK

SEQUENCING RESULTS

- **Placed over 95 NovaSeq X instruments**, supported by several multi-unit capacity expansion orders from large clinical customers, including orders related to new clinical trials. In the call back, management suggested they didn't see pull forward of instrument orders.
- Approximately **70% of NovaSeq X placements were clinical and 30% were research**.
- In the call back, management noted that **most X research placements are incremental** (vs. upgrades from the 6000) since the transition is largely complete. Approximately **50% of clinical placements are incremental** (vs. upgrades from the 6000), with reimbursement, new trials, and capacity expansion driving demand.

- Placed **over 10 NovaSeq 6000s**, as some customers expect to remain on the platform for years. Existing on-market clinical tests are more likely to remain on NovaSeq 6000 during replacement activity, while new tests are more likely to begin on NovaSeq X.
- Sequencing consumables grew 5% YoY**, primarily driven by high-throughput volume as the NovaSeq X installed base expanded and pull-through increased.
 - Clinical consumables grew 15% ex-China**, including growth above **20% in U.S.-Canada**, and represented approximately **65% of sequencing consumables revenue**. The Middle East and LATAM weakness contributed to the slowdown to 15% growth ex-China in 2Q, vs. 20% in Q1.
 - Research & Applied consumables declined 7% YoY ex-China**, but improved **9% sequentially**. Management said it remains too early to call an end-market recovery.
- NovaSeq X represented approximately **83% of HT sequencing volume and 59% of HT consumables revenue** with approximately **78% of clinical volume** on the platform. Clinical volume conversion remains expected to reach **80% to 85% by year-end 2026**.
- Oncology remained the leading clinical application**. Therapy selection remains larger in dollar terms, while MRD is beginning to drive momentum; rare disease, screening, and NIPT also continued to grow.
- Low-throughput demand remained strong**, supported by MiSeq i100, while **mid-throughput demand remained more muted as they are sensitive to the macro environment**.

OTHER COMMENTARY

- Research customers remain cautious amid funding uncertainty. **U.S. funding releases and quoting activity improved late in 2Q26, but it remains too early to call a recovery**.
- Pricing has become more disciplined**, with limited discounts on multipack and multiple-box consumables orders but no broad-based discounting. Investment placements remain available for strategic sectors and large-volume opportunities.
- The Billion Cell Atlas began generating revenue**, with over **300M cells delivered** and **six biopharma partners**, supporting AI-enabled drug discovery and predictive biological models.
- Higher memory and freight costs affected 2Q26**, but Illumina secured critical-component supply for the next several quarters and is addressing inflation through pricing and operating efficiencies.
- Repurchased **0.9M shares for \$122M** at an average price of **\$129.07 per share**. At the end of 2Q26 there was approximately **\$1.8B remaining under existing share-repurchase authorizations** and plans to continue repurchasing shares opportunistically.
- Generated \$162M of free cash flow**; operating cash flow was affected by tax-payment timing and inventory purchases to secure critical components.

MODEL UPDATES

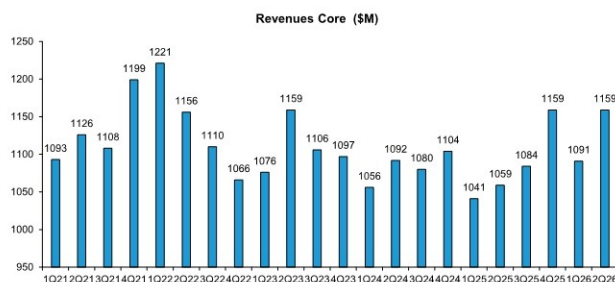
EXHIBIT 5: ILMN Model updates

	3Q26E	4Q26E	FY26E	FY27E	FY28E
Revenues (Core)	1,152	1,229	4,632	4,937	5,312
Previous	1,127	1,222	4,571	4,813	5,135
Difference	2%	1%	1%	3%	3%
Instruments	111	145	506	467	472
Previous	102	146	490	460	465
Difference	9%	-1%	3%	1%	1%
Consumables	861	892	3,402	3,723	4,069
Previous	852	890	3,384	3,634	3,927
Difference	1%	0%	1%	2%	4%
Core Operating margin	24%	26%	24%	25%	26%
Previous	24%	25%	24%	25%	26%
Difference	0%	0%	0%	0%	0%
Diluted EPS	1.36	1.52	5.34	6.14	6.99
Previous	1.34	1.51	5.22	5.94	6.71
Difference	2%	1%	2%	3%	4%

Source: Company reports, Bernstein analysis and estimates

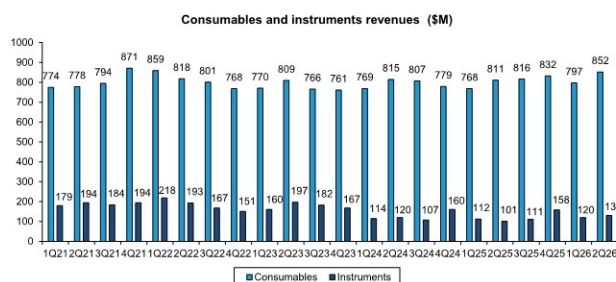
HISTORICALS

EXHIBIT 6: Illumina Core Revenues



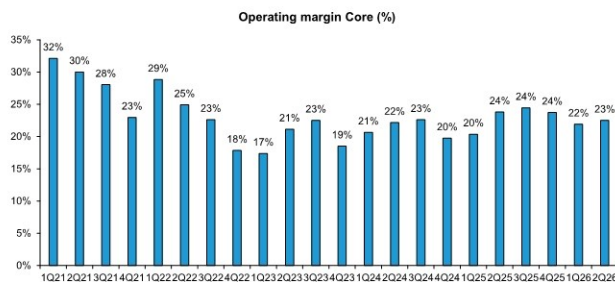
Source: Company reports, Bernstein analysis

EXHIBIT 7: Illumina Consumables and Instruments Revenues



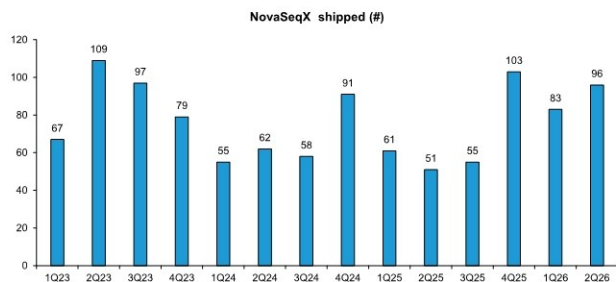
Source: Company reports, Bernstein analysis

EXHIBIT 8: Illumina Core Operating Margin



Source: Company reports, Bernstein analysis

EXHIBIT 9: NovaSeq X shipments



We estimate NovaSeq X placements in 2Q26 to be 96 based on Illumina reported "more than 95" placements in 2Q26.

Source: Company reports, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 10: ILMN Revenue and IS

Revenue (\$M)	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Consumables	2,177	2,392	2,304	3,217	3,246	3,106	3,170	3,227	3,402	3,723	4,069
YoY Growth		9.9%	(3.7%)	39.6%	0.9%	(4.3%)	2.1%	1.8%	5.4%	9.4%	9.3%
Instruments	572	537	431	751	729	706	501	482	506	467	472
YoY Growth		(6.1%)	(19.7%)	74.2%	(2.9%)	(3.2%)	(29.0%)	(3.8%)	5.0%	(7.7%)	1.0%
Service and other	584	614	504	558	578	626	661	634	724	747	772
YoY Growth		5.1%	(17.9%)	10.7%	3.6%	8.3%	5.6%	(4.1%)	14.2%	3.3%	3.3%
Total revenue	3,333	3,543	3,239	4,526	4,553	4,438	4,332	4,343	4,632	4,937	5,312
YoY Growth		6.3%	(8.6%)	39.7%	0.6%	(2.5%)	(2.4%)	0.3%	6.6%	6.6%	7.6%

Income Statement, combined, non	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Total net sales	3,333	3,543	3,239	4,518	4,552	4,438	4,332	4,343	4,632	4,937	5,312
COGS	998	1,042	1,008	1,301	1,439	1,520	1,384	1,379	1,459	1,518	1,562
Gross profit	2,335	2,501	2,231	3,217	3,113	2,918	2,973	2,964	3,173	3,419	3,750
SG&A	785	781	796	1,140	1,069	1,016	1,069	1,009	1,084	1,132	1,218
R&D	623	644	680	989	996	1,001	982	950	997	1,046	1,120
Operating income	927	1,076	755	1,088	1,050	899	922	1,004	1,090	1,237	1,407
Net interest and other expense	28	63	130	(17)	27	(37)	(51)	(54)	(62)	(48)	(48)
Income before income taxes	955	1,139	885	1,071	1,077	862	868	950	1,028	1,189	1,359
Tax expense	150	175	224	187	118	228	206	195	211	250	285
Net income attributable to NCI	44	12	-	-	-	-	-	-	-	-	-
Net income	849	976	661	884	959	634	662	756	817	939	1,074
EBITDA, adjusted	1,067	1,227	911	1,264	1,250	1,119	1,131	1,207	1,304	1,464	1,652
Diluted EPS, adjusted	5.72	6.57	4.50	5.85	6.11	4.00	4.16	4.86	5.34	6.14	6.99
Diluted share count (millions)	149	149	148	151	157	158	159	156	153	153	154

Margin analysis, adjusted IS											
Gross margin	70.1%	70.6%	68.9%	71.2%	68.4%	65.8%	68.6%	68.2%	68.5%	69.3%	70.6%
SG&A % of revenue	23.6%	22.0%	24.6%	25.2%	23.5%	22.9%	24.7%	23.2%	23.4%	22.9%	22.9%
R&D % of revenue	18.7%	18.2%	21.0%	21.9%	21.9%	22.6%	22.7%	21.9%	21.5%	21.2%	21.1%
Operating margin	27.8%	30.4%	23.3%	24.1%	23.1%	20.3%	21.3%	23.1%	23.5%	25.1%	26.5%
Net margin	25.5%	27.5%	20.4%	19.6%	21.1%	14.3%	15.3%	17.4%	17.6%	19.0%	20.2%
YoY growth, adjusted IS											
Revenues		6.3%	(8.6%)	39.5%	0.8%	(2.5%)	(2.4%)	0.3%	6.6%	6.6%	7.6%
Gross profit		4.4%	(3.3%)	29.1%	10.6%	5.6%	(8.9%)	(0.4%)	5.8%	4.0%	2.9%
SG&A		(0.5%)	1.9%	43.2%	(6.2%)	(5.0%)	5.2%	(5.6%)	7.4%	4.5%	7.6%
R&D		3.4%	5.6%	45.4%	0.7%	0.5%	(1.9%)	(3.3%)	5.0%	4.9%	7.1%
Operating income		16.1%	(29.8%)	44.1%	(3.5%)	(14.4%)	2.6%	8.9%	8.6%	13.5%	13.7%
Net income		15.0%	(32.3%)	33.7%	8.5%	(33.9%)	4.5%	14.2%	8.1%	15.0%	14.3%
Diluted EPS		14.9%	(31.5%)	30.1%	4.3%	(34.5%)	4.0%	16.7%	9.9%	15.0%	13.9%
Margin expansion, adjusted IS											
Gross margin		53.3bps	-171.1bps	232.5bps	-281.7bps	-263.7bps	287.8bps	-38.1bps	25.1bps	76.0bps	133.4bps
Operating margin		255.7bps	-706.0bps	77.2bps	-101.5bps	-281.0bps	102.7bps	183.4bps	42.3bps	151.7bps	143.3bps
Net margin		207.5bps	-714.0bps	-84.1bps	150.1bps	-678.2bps	100.2bps	211.9bps	23.4bps	138.6bps	118.6bps

Source: Company reports, Bernstein analysis & estimates

EXHIBIT 11: ILMN BS and SCF

Balance Sheet (\$M)	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash and cash equivalents	3,512	3,414	3,472	1,339	2,037	1,054	1,220	1,633	1,662	2,580	3,675
Accounts receivable	514	573	487	648	671	734	735	854	831	902	969
Inventory	386	359	372	431	568	587	547	564	667	693	732
Prepaid expenses and other current assets	78	105	152	295	285	234	244	238	264	286	307
Total current assets	4,490	4,451	4,483	2,713	3,561	2,609	2,746	3,289	3,423	4,461	5,683
PPE	1,075	889	922	1,024	1,091	1,007	815	759	778	783	780
ROU	0	555	532	672	653	544	419	370	371	371	371
Goodwill	831	824	897	7,113	3,239	2,545	1,113	1,113	1,284	1,284	1,284
Intangible assets	185	145	142	3,250	3,285	2,993	295	210	430	430	430
Other assets	378	452	609	445	423	413	915	903	981	981	981
Total assets	6,959	7,316	7,585	15,217	12,252	10,111	6,303	6,644	7,267	8,310	9,529
Accounts payable	184	149	192	332	293	245	221	240	238	247	261
Accrued liabilities	513	516	541	761	1,232	1,325	827	846	926	963	1,017
Short-term debt	1,107	0	511	0	1,248	0	499	499	499	499	499
Total current liabilities	1,804	665	1,244	1,093	2,773	1,570	1,547	1,585	1,663	1,709	1,777
Operating lease liabilities	0	695	671	774	744	687	554	486	475	475	475
Term notes	890	1,141	0	993	1,487	1,489	1,490	1,490	1,490	1,490	1,490
Convertible senior notes	0	0	673	702	0	0	0	0	0	0	0
Other long-term liabilities	420	202	303	915	649	620	339	360	352	352	352
Total liabilities	0	2,703	2,891	4,477	5,653	4,366	3,930	3,921	3,980	4,026	4,094
Common stock	2	2	2	2	2	2	2	2	2	2	2
Additional paid-in capital	3,290	3,560	3,815	8,938	9,207	9,555	7,525	7,822	7,827	7,885	7,962
Accumulated other comprehensive income	-1	5	2	17	3	-1	22	-10	1	1	1
Retained earnings	3,083	4,067	4,723	5,485	1,142	-19	-1,242	-392	-75	905	1,779
Treasury stock, at cost	-2,616	-3,021	-3,848	-3,702	-3,755	-3,792	-3,934	-4,699	-4,709	-4,509	-4,309
Noncontrolling interests	87	0	0	0	0	0	0	0	0	0	0
Total stockholders' equity	3,845	4,613	4,694	10,740	6,599	5,745	2,373	2,723	3,287	4,285	5,436
Total liabilities and stockholders' equity	6,959	7,316	7,585	15,217	12,252	10,111	6,303	6,644	7,267	8,310	9,529

Cash flow statement (\$M)	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net income	782	990	656	762	-4,404	-1,161	-1,223	850	781	939	1,074
Depreciation	140	151	156	176	215	235	224	203	214	227	245
Amortization of intangible assets	39	37	31	75	179	197	130	67	0	0	0
Share-based compensation	193	194	194	754	366	380	370	275	247	258	277
Other adjustments	6	-127	-30	-1,070	3,832	917	1,819	-163	27	0	0
Changes in operating assets and liabilities	-18	-194	73	-152	204	-90	-483	-153	-83	-74	-59
Cash flow from operations	1,142	1,051	1,080	545	392	478	837	1,079	1,186	1,351	1,537
Purchases of available-for-sale securities	-2,859	-1,010	-1,802	-77	0	0	0	0	0	0	0
Maturities and sales of available-for-sale securities	1,457	2,016	1,791	1,362	0	0	0	0	0	0	0
Capex	-296	-209	-189	-208	-286	-195	-128	-148	-224	-233	-242
Cash paid for intangible assets	0	0	0	0	-180	-1	0	-10	0	0	0
Net cash paid for acquisitions	-100	0	-98	-2,444	-85	-29	-81	0	-415	0	0
Other investing activities	-15	-52	-256	298	-40	-6	31	103	87	0	0
Cash flow from investment activities	-1,813	745	-554	-1,069	-591	-231	-178	-55	-552	-233	-242
Net proceeds from issuance of debt	735	0	0	988	991	0	1,241	495	0	0	0
Payments on convertible senior notes	-4	-550	0	-517	0	-1,235	-750	-500	0	0	0
Proceeds from issuance of common stock	46	59	61	60	63	67	56	44	24	0	0
Common stock repurchases	-201	-324	-736	0	0	0	-116	-742	-464	-200	-200
Other financing activities	18	-82	-91	-582	-54	-42	-1,001	-41	-33	0	0
Cash flow from financing	594	-897	-766	-51	1,000	-1,210	-570	-744	-473	-200	-200
Effect of Fx	-4	-1	8	-3	-22	0	-10	11	-1	0	0
Net change in cash	-81	898	-232	-578	779	-963	79	291	161	919	1,095

Source: Company reports, Bernstein analysis & estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	30 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
ILMN (Illumina)	M	USD	205.09	215.00	75.4%	USD	4.86	5.34	6.14	42.2	38.4	33.4
OLD				185.00				5.22	5.94			
SPX			7,437.63									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Illumina Inc**

We arrive at our price target of \$215 by taking the average of a DCF, PE multiple, and an EV/EBITDA multiple approach. Our DCF valuation of \$151 uses a WACC of 9.25% and a terminal growth of 3%. We arrive at our \$246 PE multiple valuation by applying a 40x multiple to 2027E EPS. Our \$244 EV/EBITDA multiple valuation relies on a 25x multiple applied to 2027E EBITDA. We then round our calculated average of \$214 to the nearest \$5 increment, leading us to a \$215 price target.

RISKS**Illumina Inc**

Upside Risks

- The macro environment improves and customers' willingness to buy instruments improves faster than expected
- Competitors fail to take share
- China recovery

Downside Risks

- Competitors in short- and long-read take more market share than expected
- Continued A&G and China weakness
- Elasticity of demand takes a long time to unlock revenue in the clinical market

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

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- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
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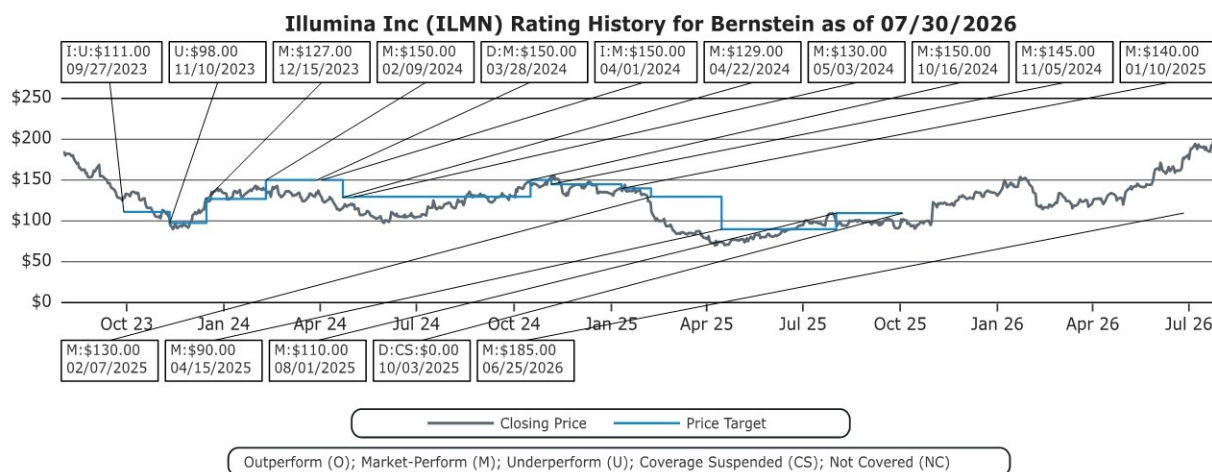
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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